WHY WE SHOULD VOTE NO ON THE $397 MILLION SAISD BOND

Dear Friends and Neighbors,

On **May 3rd**, we'll be asked to approve a **$397 million** school bond for San Angelo ISD, which could total **$600 million+** with interest over **25–40 years**. According to the Bill (the "Order Calling a Bond Election"), property taxes may be raised **"without limit as to rate or amount"** (Section 11(d)) to repay this massive debt. While we value strong schools, this plan is **excessive**, **long-term**, and places **facilities** above the **teachers** who truly shape student success.

Below are several key reasons for a **NO** vote.

FAST FACTS

1. **$397M Principal** – could exceed **$600M** once interest is added.
2. **Property Tax Jump** – ~30%+ hike (~26.5 cents per $100). The Bill explicitly says, **"THIS IS A PROPERTY TAX INCREASE."**
3. **25–40 Years** – Though 25 is cited, Section 11(f) allows up to **40 years**—potentially **2050** or beyond.
4. **No Rate Cap** – Section 11(d) says **"without limit"** on taxes to repay the bond.
5. **$122M for Glenn Jr High** – Similar middle schools (~1,200 students) in other districts cost **$60M**, less than half this proposal.
6. **Teacher Pay Lag** – Last big raise was 2019 (from $41,500 to $45,000). Homeowner-teachers will lose some gains to higher taxes.
7. **"$39M Costs Increase Each Year" Claim** – Assumes sustained **10%** inflation – **Claim not found** in the Bill. Calling it certain verges on **financial marketing fraud**. Historically, **3–5%** is more common.

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1. A NEW GLENN FOR $122 MILLION: WHY SO HIGH?

District materials list **$122M** for Glenn Jr. High alone, while new or upgraded middle schools serving ~1,200 students in:

- **College Station ISD (2021)**: ~$50 million
- **Belton ISD (2019)**: $48 million
- **Midlothian ISD (2022)**: ~$52 million

all stayed under $60M. This proposal is **double** the cost of similar sized middle schools in Texas—without any itemized justification in the Bill.

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2. THE "10%" OR $39M/YEAR ESCALATION CLAIM

Proponents say waiting could add $39 million in costs yearly (~10% of $397M). However:

- **3–5%** is more typical for long-term inflation.
- The Bill itself never mentions **10%** inflation forecasts.
- Presenting $39M/year increase as a certainty verge on **financial marketing fraud**—closer to a **sales** pitch than a reasoned forecast.

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3. IMPACT ON WORKING FAMILIES

Local **teachers, nurses, police, and firefighters** often earn **$50k–$55k**. After essentials, **$5k–$8k** might remain. Adding **$300–$600** in yearly taxes can erase **5–10%** of those leftover funds, just as daily expenses keep rising. Families shouldn't be forced to cut key household needs or risk late bills for an overblown bond.

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4. LOCAL BUSINESSES GET DOUBLE WHAMMY

1. **Reduced Consumer Spending** – Families hit with extra taxes have less for shops, restaurants, and services.
2. **Higher Overhead** – Commercial property owners also face bigger tax bills, pushing costs up just when customer spending dips.

Millions of these tax dollars end up as **interest and fees**—often headed **out of** the San Angelo economy and into bankers and multi-national development firms.

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5. TEACHERS: THE REAL EDUCATIONAL KEY

Studies show **teacher quality** is more impactful on student performance than fancy buildings. Yet:

- **Net Pay Cut**: Homeowning teachers face higher taxes, offsetting past or future salary gains.
- **$200+ Million in Interest**: Funds that could have gone towards real investments in teacher pay, smaller class sizes, updated resources, or our broader community.
- **Note**: Bonds cannot pay teacher salaries. However, a **separate** property tax bill could be proposed to directly fund M&O earmarked for teacher salaries. This is common in North Texas schools where salaries are more competitive.

M&O "SAVINGS" FOR TEACHER SALARIES?

Some argue shifting certain Maintenance & Operations (M&O) expenses to this bond might free up M&O dollars for teacher pay. However:

- **No Legal Guarantee** – The Bill doesn't require leftover M&O funds go to raises.
- **State Funding Mandates** – Teacher pay depends heavily on state formulas, not just local budget lines. But mostly around minimum pay.
- **Timing & No Budget Cap** – Even if cost savings come, they won't begin until projects are complete, and there's no cap on bond expenses. If the bond goes over budget, the "savings" vanish.
- **Based On Energy Savings** – Much of the saving is forecasted on energy efficiencies or reduction in maintenance labor.
- **Teachers Also Taxpayers** – Meanwhile, property taxes for teacher-homeowners climb, undercutting any hypothetical pay gain.

Bottom Line: Any talk of new teacher salary money relies on the district **staying within budget** (that has no legal cap) and actually **choosing** to redirect M&O "savings" to wages—there's no binding provision ensuring that happens.

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6. DECADES OF DEBT & NO MAJOR ROLLOFF

- **Up to 40 Years** – Section 11(f) might lock us in to pay this debt beyond 2050, not just 25. Meaning the kids that use these resources will also pay for them their entire career.
- **No Existing Bond Swap** – SAISD's $68M in principle, $13.8M in interest remains. This new bond is an added burden.
- **Unlimited Levies** – If property values sink or interest rates rise, Section 11(d) says taxes can climb **"without limit"** to safeguard bondholders.

Once we commit to **$600M+** (no cap) in total debt, our future flexibility to fund real teacher pay or new programs dwindles.

CONCLUSION: VOTE NO FOR A LEANER, TEACHER-FOCUSED BOND

A **NO** vote on May 3rd isn't about refusing safer, more modern schools—it's about **demanding**:

1. **Competitive Costs** – Not $122M for Glenn vs. $60M for other districts of similar needs.
2. **Fact-Based Information** – Not 10% ($39M/yr) inflation claims lacking proof.
3. **Shielding Families & Businesses** – Don't gobble up **5–10%** of leftover household discretionary spending or choke out local commerce.
4. **Real Teacher Investment** – Quality education depends on **people**, not just buildings.
5. **Avoiding $200+ Million in Extra Interest** – Keep more dollars circulating here, not sent to out-of-town bankers.
6. **Better Way Forward** – Smaller, single project, bonds. Allow for transparency and rightsizing.

By voting **NO**, we insist SAISD reduce inflated costs, maintain accountability, and prioritize the true engine of student success—**teachers**. We can certainly upgrade facilities without saddling ourselves with decades of unbounded debt and unlimited tax increases. And; without strapping the kids we are trying to support with a lifetime of debt obligations on their future homes and businesses.

Sincerely,
Concerned Citizen of San Angelo

TALKING POINTS

1. **Why is Glenn Jr High so expensive ($122M) vs. $50–$60M average elsewhere?**
   - We lack an **itemized** breakdown explaining **double** the usual cost.
2. **Will M&O savings actually fund teacher raises?**
   - **No guarantee.** The Bill doesn't ensure any leftover M&O money goes to salaries, and no cost cap exists to prevent overruns. If projects finish over budget, there's no "savings" left.
3. **What about 10% inflation or "$39M/year increase" if we delay?**
   - That claim isn't in the Bill; historically, **3–5%** is more typical. Suggesting 10% is an unsubstantiated **scare tactic**.
4. **Won't refusing the bond hurt schools long-term?**
   - Voting **NO** pushes for a **smaller**, more **teacher-centered** bond sooner—rather than a 25–40-year debt that benefits contractors and bankers before educators.
5. **Does Section 11(d) really allow unlimited taxes?**
   - Yes. It states property taxes "**without limit as to rate or amount**," meaning if conditions worsen, taxpayers shoulder indefinite hikes.
6. **Why not invest in teachers first?**
   - Buildings alone don't raise test scores or graduation rates, but **teachers** do. We can focus more on the actual people shaping our kids' futures.
7. **"If this bond fails, we must wait 5 years"?**
   - **Faulty Claim**: Certain proposed laws (*e.g., SB409, SB843*) might impose a wait, but **they haven't passed**. As of now, **no** such rule exists. A district can propose another bond earlier if it chooses—saying we must wait 5 years is just another **pressure sales tactic.**

Answer? Vote NO to call for a **transparent**, **teacher-focused** measure with **realistic** costs and an **itemized** budget—not a half-billion-dollar gamble.

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